gets a rating of one, fiscal deficit of 2–4 per cent gets a rating of three, and fiscal deficit of above 6 per cent gets a rating of six.

With respect to debt levels, keeping the cost of debt in consideration, S&P's matrix provides the highest ranking of one to a country with general government debt level of less than 30 per cent of GDP and cost of debt (effective interest) below 5 per cent. A country with general government debt level of 60–80 per cent with cost below 5 per cent gets a ranking of three and a country with the same level of debt but with cost of debt from 5–10 per cent gets a ranking of four. A country with debt level exceeding 100 per cent, with cost of debt below 5 per cent gets a ranking of five but with cost of debt higher than 5 per cent gets the worst ranking of six. Likewise, a country with 60–80 per cent debt level with cost of debt exceeding 15 per cent or a country with debt level of 89–100 per cent but cost of debt of 10 per cent or more gets a rating of six.

India performs quite poorly in both these metrics.

According to credit rating agency Moody's, fiscal strength is one of the three major rating parameters that determines a government's financial strength. India's financial strength has been rated consistently for quite some time at M+ level, i.e., medium strength. The biggest weakness in the metric of fiscal strength is a large debt burden. India's general government debt and liabilities (a little less than 70 per cent) are among the highest in comparably rated sovereigns. Deterioration in fiscal metrics is considered one of the largest negative credit events.

India's sovereign credit rating, upgraded in 2017–18, was brought back to the lowest investment grade by Moody's in June 2020–21. After the second wave of the pandemic hit India, Moody's has placed India's credit rating on a negative outlook on account of diminishing prospects of high growth and rising deficits and debt levels. While the Government of India still does not issue sovereign bonds to borrow in foreign currencies, a number of sub-sovereigns and private parties do. For these borrowers,